

SUPREME COURT · JUDGMENT DIGEST

Ferro Alloys Corporation Ltd. & Ors. v. A.P. State Electricity Board & Ors.

1993 AIR 2005 : 1993 SCR (3) 199 : (1993) Supp (4) SCC 136 | Supreme Court of India | 15 April 1993

COURT	Supreme Court of India
CORAM	Hon'ble Mr. Justice S. Mohan & Hon'ble Mr. Justice K. Jayachandra Reddy (judgment delivered by S. Mohan, J.)
DATE OF JUDGMENT	15 April 1993
NATURE OF PROCEEDING	Batch of Special Leave Petitions and Civil Appeals arising from orders of High Courts of Andhra Pradesh, Rajasthan, Uttar Pradesh, Bihar, Punjab, and Orissa, and from a Division Bench of Andhra Pradesh High Court (in Southern Steel Ltd. case), challenging the validity of terms and conditions of supply of electricity prescribed by various State Electricity Boards under Section 49 of the Electricity (Supply) Act, 1948, particularly clauses relating to consumption deposits and interest thereon.
PARTIES	Ferro Alloys Corporation Ltd., K.C. Works, and other HT industrial consumers from Andhra Pradesh, Rajasthan, Uttar Pradesh, Bihar, and Punjab v. A.P. State Electricity Board, Rajasthan State Electricity Board, Uttar Pradesh State Electricity Board, Bihar State Electricity Board, Punjab State Electricity Board, and Orissa State Electricity Board (with intervenors including Calcutta Electricity Supply Corporation)
PROVISIONS	Electricity (Supply) Act, 1948: Sections 2(b)(v), 49, 59, 79, Schedule VI, Clause 14; Indian Electricity Act, 1910: Section 24; Indian Electricity Rules, 1956: Rule 27; Interest Act, 1978: Section 4(2); Indian Trusts Act, 1882: Section 90; Constitution of India, 1950: Article 12 (State status of Boards), Article 14 (equality), Article 226 (writ jurisdiction)
RESULT	Mixed outcome. Petitions/appeals from Andhra Pradesh, Uttar Pradesh, and Punjab (consumers challenging deposit and interest provisions) dismissed; petitions/appeals from Rajasthan and Bihar (Boards challenging High Court orders directing payment of interest) allowed.

POINT FOR DETERMINATION

- Whether Section 49 of the Electricity (Supply) Act, 1948 is unconstitutional for want of legislative guidelines governing the framing of terms and conditions of supply of electricity.
- Whether a condition requiring consumers to maintain a consumption deposit equivalent to three months' demand and energy charges is arbitrary, unreasonable, or unconscionable.
- Whether such deposit condition is discriminatory in application to power-intensive industrial consumers as distinct from other categories of consumers, whether it violates Article 14 of the Constitution.
- Whether the Electricity Board is obligated under the Electricity (Supply) Act, 1948, the Interest Act, 1978, or the model form conditions in Schedule VI to pay interest on consumption deposits at the rate offered by scheduled banks on fixed deposits.
- Whether the nature of the consumption deposit creates a trustee-beneficiary relationship between the Board and consumers, attracting interest under common law or equity.
- Whether Section 4(2) of the Interest Act, 1978 applies to override contractual or statutory provisions excluding interest on the deposit.
- Whether an adhesion contract (take-it-or-leave-it terms of supply) providing for no interest on consumption deposit is so unconscionable as to be unenforceable.
- Whether the Board must assign reasons at the time of enhancing consumption deposits in response to tariff revisions or changed circumstances.
- Whether an enhanced or additional consumption deposit can be demanded on the basis of maximum power consumption rather than average or minimum consumption.

FACTS

Various High Tension (HT) industrial consumers, including Ferro Alloys Corporation and others, held electricity connections from the Andhra Pradesh State Electricity Board (APSEB) and other state boards. The APSEB, under Section 49(1) of the Electricity (Supply) Act, 1948, had notified General Terms and Conditions of Supply (dated 17 September 1975, by B.P.M.S. No. 690) requiring consumers to keep with the Board an amount equivalent to three months' consumption charges as consumption deposit (Condition 28), on which the Board paid interest at 3% per annum (Condition 28.3). Clauses 28.2 and 28.6 provided for review and enhancement of deposits upon tariff revisions or changed consumption patterns, with surcharge payable for delayed payment and risk of disconnection upon default.

Similar terms applied under Rajasthan State Electricity Board (RSEB), which additionally provided (in Note II of Part II of General Conditions of Supply) that NO interest would be payable on security deposits. When RSEB demanded enhanced security on the basis of maximum power consumption of three months, consumers filed petitions in Rajasthan High Court; a Single Judge allowed the petitions, but a Division Bench (while agreeing on the basis of calculation) held that the non-interest provision was unreasonable and directed payment of interest at the rate of scheduled banks' fixed deposits, relying on Section 4(2) of the Interest Act, 1978 and the model conditions in Schedule VI of the 1948 Act.

Uttar Pradesh State Electricity Board and Allahabad High Court cases involved consumers claiming 12% interest on deposits when the Board was paying 3%; Bihar State Electricity Board cases involved consumers claiming interest at the scheduled bank fixed-deposit rate when the Board was paying 5%; Punjab State Electricity Board cases challenged the validity of Sections 49 and 79 on the grounds that consumption deposits could not be demanded; and Orissa State Electricity Board, through an intervenor, defended its Regulation 7 providing no interest.

A key connected case was *Southern Steel Ltd. v. A.P. State Electricity Board* (AIR 1990 Andhra Pradesh 58), in which the Andhra Pradesh High Court Division Bench had upheld the reasonableness of the three-month deposit condition. Ferro Alloys and allied cases came to this Court as special leave petitions and civil appeals challenging the validity of the consumption deposit conditions and the rate of interest (or non-interest) provisions.

The disputes centred on whether a three-month advance deposit (in the nature of running security for credit supply of electricity spanning two to three months) was reasonable, whether it should be differentiated for power-intensive consumers (for whom electricity was a raw material constituting 50%+ of production cost), whether interest must be paid at scheduled bank rates, and whether the provisions were violative of Article 14 and principles of natural justice.

REASONING OF THE COURT

HEADNOTE

The General Terms and Conditions for supply of electricity notified by State Electricity Boards under Section 49(1) of the Electricity (Supply) Act, 1948 (including the requirement that consumers maintain an amount equivalent to three months' average consumption charges as consumption deposit), are valid and not unconstitutional for want of legislative guidelines. The nature of consumption deposit is to secure prompt payment and to serve as an appropriable advance payment of consumption charges, revisable from time to time based on actual consumption; it is not a fixed deposit and cannot be equated to a bank security deposit attracting interest at scheduled bank rates. There is no statutory, common law, or equitable obligation on the Electricity Board to pay interest on consumption deposits. The model form of draft conditions in Schedule VI (Clause 14) applies only to licensees, not to Boards, and merely provides that if interest is paid it qualifies as an item of expenditure; it does not mandate payment. The Interest Act, 1978, Section 4(2) does not override contractual or statutory provisions excluding interest. A clause providing for non-payment of interest, even in an adhesion contract, is neither arbitrary, unreasonable, palpably unreasonable, nor unconscionable, considering that: (a) electricity supply is made on credit; (b) the deposit serves to offset part of the credit extended; (c) the Board must generate a minimum surplus of 3% under Section 59; and (d) the Board is a public utility, not a commercial entity earning profit from deposits. Three months' consumption deposit cannot be characterized as unreasonable or arbitrary, nor must different scales apply to power-intensive consumers; uniformity of deposit terms is permissible. No reasons need be assigned at the time of enhancing deposits following tariff revisions, as deposit is a condition of supply subject to the Board's obligation under Section 59.

Section 49 is valid and requires no legislative guidelines for framing terms and conditions of supply. Section 49 of the Electricity (Supply) Act, 1948 opens with the words "Subject to the provisions of the Act and all regulations, if any, made in this behalf." This language ensures that the Board's power to prescribe terms and conditions is itself subject to statutory constraints. The section vests two distinct powers: (1) to prescribe terms and conditions of supply, and (2) to fix tariffs. The consumer's argument that "no guidelines are required" is rejected; the section itself contains guidelines through its opening words and through the substantive provisions of the Act (especially Sections 59 and 79). The Court held that if a Board exceeds its power or acts for a collateral purpose, the exercise is reviewable. But the *absence* of detailed legislative guidelines does not render the provision unconstitutional. Reliance on *Roberts v. Hopwood* and *Pyx Granite* principles confirms that discretionary power to act "as the Board thinks fit" must be read as "as the Board reasonably thinks fit," subject to judicial review. SCR 250–252

Consumption deposit is an appropriable advance payment on a running account, not a fixed security deposit. The Court traced the billing cycle and supply practices across all Boards. Consumers receive electricity continuously and pay for it 2 to 3 months in arrears; the deposit secures the Board against default during this period. The deposit cannot be equated to a bank fixed deposit because: (a) it is not held static but is daily depleted against consumption; (b) consumption charges exceed the deposit in many cases; (c) appropriation occurs automatically against dues under Clause 28.1.2; and (d) the deposit is revised from time to time based on average consumption. The relationship is akin to a "running current account" in accounting. The Court cited Calcutta Electricity Supply Corporation's submission that the deposit represents an "adjustable advance" and rejected the analogy to trust deposits requiring interest. The deposit also serves deterrent purposes (Clause 28.3 notes appropriation against penalties for theft, meter tampering, etc.). Thus, the nature of consumption deposit fundamentally differs from a trust deposit or bank fixed deposit. SCR 252–262

No statutory, common law, or equitable obligation exists to pay interest on consumption deposits. The Court rejected multiple textual grounds for an interest obligation: (1) Schedule VI, Clause 17(v), merely defines interest paid on deposits as an item of "properly incurred expenditure" for calculating "clear profit" of a licensee; this does not require payment of interest but merely states that if paid, it is deductible. Boards are not licensees and are not subject to Schedule VI. (2) The Indian Electricity Rules, 1956, Rule 27, enables adoption of model form conditions (Annexure VI, Clause 14) by a licensee *with such modifications as circumstances require*; adoption is optional, not mandatory, and applies to licensees, not Boards. (3) Section 4(2) of the Interest Act, 1978 merely "enlarges" the categories under Section 4(1) and does not override contractual or statutory provisions excluding interest; its non-obstante clause is confined to the Interest Act itself, not to other statutes or contracts. (4) Under common law, "interest" arises only where a debtor-creditor relationship exists (a lender depriving himself of use of funds); the Board-consumer relationship, rooted in the deposit's appropriable nature, is not debtor-creditor. (5) Equity similarly requires a fiduciary or trust relationship, which does not exist here (the Board is not a trustee; it acquires no advantage in derogation of consumer rights). SCR 259–265

Three months' consumption deposit is reasonable, not arbitrary, and applies uniformly to all categories of consumers. The Court accepted the Board's factual showing that: (a) consumers receive electricity on 2–3 months' credit, depending on billing cycle and consumer category; (b) the deposit is required to offset the credit extended; (c) without the deposit, the Board would need to increase tariffs (passed to all consumers), so the deposit protects non-defaulting consumers; and (d) the deposit is variable and revisable based on actual consumption. The argument that power-intensive consumers should be treated differently (because electricity is their raw material and they are prompt payers) fails because: (i) the deposit condition relates to the *nature and object* of prompt payment, not to the quantum of bills; (ii) even if some consumers are prompt in their own interest, the *general application of law* does not discriminate if uniformity is maintained; and (iii) the classification (three months' deposit for all non-domestic consumers) is reasonable and based on the intelligible differentia of credit supply periods. Merely because some consumers pay large amounts (and may be prompt) does not justify separate treatment; terms of supply must be uniform. SCR 253–259

Consumption deposit condition has direct bearing on Board's obligation under Section 59 to generate a minimum surplus. Section 59 (as amended by Act 23 of 1978, and further amended by Act 16 of 1983, effective from 1 April 1985) requires the Board to "carry on its operations under this Act and adjust its tariffs" so as

to ensure a surplus of 3% (or such higher percentage as the State Government specifies). The language is “carry on its operations *and* adjust its tariffs,” not SCR 265–267

Clause providing for non-payment of interest is neither arbitrary nor unconscionable; adhesion contracts are not per se unconscionable. The Court held that the condition of non-payment of interest is justified by six substantive reasons: (1) the consumer made the deposit in consideration of obtaining an essential service; (2) electricity is supplied on credit; (3) billing delay benefits the consumer; (4) public revenues are blocked in generation and transmission, and the Board pays interest on borrowed money without earning interest from consumers; (5) the Board requires its blocked money to carry out public service; and (6) the Board is a public utility, not a commercial entity seeking profit from deposits. Even assuming the contract is an “adhesion contract” (a standard-form take-it-or-leave-it contract), it is not *per se* unconscionable. The Court cited *Central Inland Water Transport Corporation v. Brojo Nath Ganguly* and *Gillespie Brothers v. Roy Bowles* for the principle that an adhesion contract is unconscionable only if *unreasonably* one-sided and shocks the conscience. Here, the deposit condition bears a rational relationship to the object (ensuring prompt payment and offsetting credit), so it is not unconscionable. SCR 266–270

The Jagdamba Paper Industries judgment on interest was sub-silentio and does not bind this Bench; interlocutory orders on interest rate at 12% were not conclusive decisions on the merits. The Court carefully examined the Jagdamba judgment (1983 4 SCC 508), where the Bench suggested 10% interest on security. The Court noted that: (1) the question of interest was *not* raised as a substantive issue before that Bench; (2) paragraph 11 merely recorded an *ad interim* arrangement based on *consent of counsel*, not a substantive ruling; (3) that part of the judgment is “sub-silentio” (not a decided issue). The Court further examined three interlocutory orders (from Writ Petitions Nos. 578/87, 613/90, 5582/89, and 576/90) in which the Court had directed interest at 12% *by way of ad interim measure*. These orders were *not* final adjudications on the merits and were “entirely based on interlocutory” considerations. A 2-judge Bench is not bound by interlocutory orders of a 3-judge Bench; the Court was free to decide the question on its merits. SCR 271–273

No reasons must be given at the time of enhancing consumption deposits upon tariff revision; the enhancement follows necessarily from the deposit’s nature and has direct bearing on the Board’s financial obligations. The Court rejected the argument (particularly by consumers in Rajasthan and Uttar Pradesh cases) that the Board must assign reasons at the time of demanding enhanced deposits. The Court noted that: (a) if there is a revision in tariffs, there *must* be an upward revision in the consumption deposit since it has “direct bearing [bearing] to the level of supply in consumption of electricity” (citing examples from Uttar Pradesh where tariff was raised in October 1986 and deposit in January 1987); (b) the deposit is a “condition of supply,” and conditions of supply are not subject to an obligation to furnish reasons at the time of imposition; and (c) the Board’s obligation under Section 59 to generate a minimum surplus makes the demand for enhanced deposit reasonable *per se*. SCR 277–278

Where Boards have notified interest-bearing deposits, they cannot be allowed to delete or reduce the interest unilaterally, and where Boards provide no interest, they cannot be compelled to pay interest without cogent reasons for future change. Having upheld the legal validity of both interest-bearing and non-interest-bearing provisions, the Court observed that Boards (like Andhra Pradesh, Uttar Pradesh, and Bihar) that have framed provisions for payment of interest “after adjusting its finances at a stated rate” cannot be *allowed to delete such a clause*. Conversely, Boards (like Rajasthan and Orissa) that have not provided for interest are not *required* to do so. However, if circumstances affecting the Board’s budgetary and financial position change, the Board may examine the case and decide on future modifications; but any change to non-payment or reduction of interest must be justified by “cogent reasons and materials having a bearing on the financial position of each Board.” The Court noted that Haryana Electricity Board (the party to Jagdamba) had dispensed with interest payment, stating it was not deciding that provision’s validity as it was pending. SCR 270–271

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY (SUPPLY) ACT, 1948 — REGULATORY POWER AND DUTY; CONSUMPTION DEPOSITS AND INTEREST; REASONABLENESS AND NON-ARBITRARINESS; SECTION 59 SURPLUS OBLIGATION; STATUTORY CONSTRUCTION AND DELEGATION

Section 49 — Power to Prescribe Terms and Conditions of Supply

Section 49 of the Electricity (Supply) Act, 1948 vests power in the Board to notify terms and conditions upon which it will supply electricity, subject to the opening words “Subject to the provisions of the Act and all regulations, if any, made in this behalf.” This language imposes internal statutory constraints on the Board’s exercise of power. The section is not unconstitutional for want of legislative guidelines; the Act itself provides guidelines through Sections 59 and 79. Where regulations are made under Section 49 read with Section 79(j), the validity of such regulations is examinable by courts on the touchstone of reasonableness (not arbitrariness). The Board cannot exercise the power for a collateral purpose; the terms and conditions must relate to the object and purpose for which they are issued (namely, to ensure supply of electricity on defined terms). The Court applied *Roberts v. Hopwood* and *Pyx Granite* principles to read “as the Board thinks fit” as “as the Board reasonably thinks fit.” SCR 250–252

Section 59 — Obligation to Carry on Operations and Ensure Minimum Surplus

As amended by Act 23 of 1978 and Act 16 of 1983 (effective 1 April 1985), Section 59 requires the Board to “carry on its operations under this Act and adjust its tariffs” so as to ensure a minimum surplus of 3% (or such higher percentage as the State Government may specify). The operative phrase is “carry on its operations *and* adjust its tariffs,” indicating that the Board may employ multiple means to achieve the surplus obligation, not *only* tariff adjustment. This reading supports the validity of consumption deposit conditions, which directly bear on the Board’s financial operations and working capital management. The Board is obligated to adjust tariffs for ensuring the surplus; consumption deposits, by reducing the credit exposure and working capital burden, contribute to meeting this statutory obligation. The condition of supply requiring consumption deposit is therefore “per se reasonable and constitutional” in the context of Section 59. SCR 266–267

Schedule VI, Clause 14 — Model Form Conditions and Nature of Interest Provision

Schedule VI of the Electricity (Supply) Act, 1948 has been framed in exercise of powers under Sections 57 and 57A. Clause 14 (Annexure VI) permits a *licensee* to require consumers to deposit security for payment of monthly bills. However: (1) Schedule VI applies to licensees, not to Boards; (2) the adoption of model-form conditions is optional, with modifications permitted based on circumstances; (3) In defining “clear profit,” paragraph (2) of Clause XVII, Item (v), merely *identifies* “interest on security deposits” as a “properly incurred item of expenditure” for licensee accounting; this does *not* impose an obligation to *pay* interest but only recognizes that if interest is paid, it is deductible. For this reason, Schedule VI cannot be read as mandating interest payment on deposits. Rule 27 of the Indian

Electricity Rules, 1956 enables adoption of model conditions but does not require Boards to do so; further, Boards are not subject to Rule 27 (which applies to licensees). SCR 260–262

Interest Act, 1978, Section 4(2) — Scope and Limitation

Section 4(2) of the Interest Act, 1978 merely “enlarges the category of cases mentioned in Section 4(1)” but does not override or supersede other statutory provisions or contractual arrangements. The non-obstante clause contained in Section 4(2) is restricted to the provisions of the Interest Act itself and cannot extend to other laws (such as the Electricity Supply Act) or to contracts between parties. Section 4(2) has *no application* to a case where a contractual term or statutory provision explicitly excludes or prohibits the payment of interest. The High Court of Rajasthan erred in applying Section 4(2) to override the contractual non-interest provision; Section 4(2) does not enlarge its own scope beyond the Interest Act. SCR 261–262

Interest on Deposits — Absence of Debtor-Creditor or Trustee-Beneficiary Relationship

The word “interest” in common law and equity applies only where a debtor-creditor relationship exists. A lender deprives himself of the use of funds and charges interest as “rent” for that use. In the case of electricity consumption deposits, there is *no* debtor-creditor relationship because: (1) the deposit is appropriable against consumption dues; (2) it is revisable based on changing consumption; (3) it is not held static but is day-by-day depleted in a running account; and (4) the Board does not deprive itself of the use of the deposit (it applies it against dues). Similarly, the relationship is not one of trustee and beneficiary; the Board is not a trustee under Section 90 of the Indian Trusts Act, 1882 because it gains no advantage “in derogation of the rights of the consumer.” The Board acquires an appropriable claim, not a trust. There is therefore neither a common-law nor an equitable ground for interest. SCR 262–265

Consumption Deposit — Nature as Appropriable Advance Payment and Running Current Account

The nature and character of consumption deposit, as established across all State Boards, is fundamentally *not* that of a fixed security deposit or trust deposit. The deposit is an “adjustable advance payment of consumption charges” (Calcutta Electricity Supply Corporation terminology, approved by the Court). The circuit of supply and billing shows: (a) consumers receive electricity continuously on 2–3 months’ credit; (b) the deposit is furnished to secure the Board against default during this credit period; (c) the deposit is automatically appropriated (in part or whole) against any amount due (consumption charges, penalties for theft, violations, etc.) under Clause 28.1.2; (d) the deposit is revisable from time to time based on average consumption, not held static; (e) the deposit represents only a part of the total money payable on a bill (consumption charges often exceed the deposit); and (f) in the nature of things, the deposit is in the form of a “running current account,” not a fixed deposit. The Court rejected analogies to bank fixed deposits and held that the deposit cannot be equated to any deposit requiring interest. SCR 252–262

Consumption Deposit — Appropriability and Deterrent Effect in Context of Theft and Violations

The argument that consumption deposit “does not contemplate appropriation” is rejected. Under Clause 28.1.2 and in the nature of the supply contract, the deposit is “liable to be appropriated for the satisfaction of any amount liable to be paid by the consumer to the Board.” This includes not only consumption charges but also amounts due for violations of supply conditions (including “wide-scale theft of energy, tampering with meters,” and other unauthorized practices). The appropriability clause thus serves a dual purpose: (1) to secure the Board’s interest against default in payment, and (2) to serve as a *deterrent* on consumers in discharging their obligations toward the Board. The deposit is not merely a passive security but an active mechanism for enforcement of supply conditions. Analogies to trust deposits or bank deposits, where there is no appropriability, therefore fail. SCR 264–265

RATIO DECIDENDI

The statutory power conferred on State Electricity Boards under Section 49 of the Electricity (Supply) Act, 1948 to prescribe terms and conditions of supply is valid and requires no detailed legislative guidelines; it is subject to the Board acting within the scope of the Act and on grounds rationally related to the object of ensuring supply. A condition requiring all industrial consumers (except domestic consumers with low bills) to maintain a consumption deposit equivalent to three months’ average demand and energy charges is reasonable, neither arbitrary nor unconscionable. Consumption deposits are by nature *appropriable advance payments* on a running account, revisable based on actual consumption; they are not fixed security deposits comparable to bank deposits and therefore do not attract interest at scheduled bank rates. There is no statutory, common-law, or equitable obligation on an Electricity Board to pay interest on consumption deposits. The provisions of Schedule VI (Clause 14), the Indian Electricity Rules, 1956 (Rule 27), and the Interest Act, 1978 (Section 4(2)) do not operate to impose or mandate interest on consumption deposits held by Boards. A clause in the terms and conditions providing for non-payment of interest is neither unreasonable, arbitrary, nor unconscionable, considering that: (a) electricity is supplied on credit ranging from 2–3 months; (b) the deposit offsets part of the credit extended; (c) the Board is obligated under Section 59 to generate a minimum surplus and may employ multiple means (including deposit conditions) to achieve this; and (d) the Board is a public utility, not a profit-seeking commercial entity. The Board need not assign reasons when enhancing consumption deposits following tariff revisions, as the increase flows necessarily from the deposit’s relationship to the quantum of consumption and to the Board’s financial obligations under Section 59. ¶ 224–3473

ALSO HELD & OBITER

- **Boards that have adopted interest-bearing deposit provisions cannot be allowed to delete them without cogent financial reasons; Boards that have not provided for interest are not required to do so.** The Court observed that where Boards have “adjusted its finances” and framed provisions for payment of interest (such as Andhra Pradesh, Uttar Pradesh, Bihar at 3–5%), “they cannot be allowed to delete such a clause.” Conversely, Boards (Rajasthan, Orissa) that have not provided for interest are not required to do so. However, if circumstances affecting the Board’s budget and financial position change, modification is possible if justified by “cogent reasons and materials.” The Court noted that Haryana Electricity Board had dispensed with interest; the Court was not deciding the validity of that provision as it was stated to be pending.
- **Interlocutory orders of a 3-judge Bench directing interest at 12% were not conclusive merits decisions and do not bind a 2-judge Bench in final adjudication.** The Court examined prior interlocutory orders (from Writ Petitions 578/87, 613/90, 5582/89, 576/90) in which the Court had directed interest at 12% as an *ad interim* measure based on consent of counsel. The Court held that these were entirely based on interlocutory considerations, not final adjudication on the merits. A 2-judge Bench, in deciding the substantive question of the Board’s obligation to pay interest, was not bound by such interlocutory orders of a 3-judge Bench. The question was therefore open for decision on its merits in the present batch of appeals.
- **Even where some consumers are prompt in payment (in their own interest), uniform application of deposit conditions is permissible and does not violate Article 14.** The Court rejected the argument by counsel for power-intensive consumers that they should be treated differently because they (as a class) are prompt

in payment. The test under Article 14 is not whether *some* individual consumers or classes are prompt but whether the *general application of law* involves discrimination. If a provision is uniformly applied to all consumers in the same category (non-domestic consumers), the fact that some may pay promptly does not render the provision unconscionable or violative of Article 14. Isolated cases of prompt payers cannot render the provision unconstitutional; the law is made for the bulk of the community to produce social justice.

DISPOSITION

The appeals and writ petitions are decided as follows: (1) **Cases filed against the Andhra Pradesh State Electricity Board** (including S.L.P. (c) Nos. 13004/89, 14995/89, and numerous others, spanning over 30 appeal numbers) are **DISMISSED**; the judgment of the Andhra Pradesh High Court upholding the validity of Condition No. 28 and the 3% interest provision is affirmed. (2) **Cases filed by the Rajasthan State Electricity Board** (C.A. Nos. 4714/91, 4028–43/91, S.L.P. (c) Nos. 446/92, and others, spanning over 30 appeal numbers) are **ALLOWED**; the Rajasthan High Court's judgment directing payment of interest is reversed, and the Board's right to provide no interest in its terms and conditions is upheld. (3) **Cases filed by the Bihar State Electricity Board** (S.L.P. (c) Nos. 11799/89, 1856/90, 8318/92, 16028/92) are **ALLOWED**; the Board's right to prescribe interest rates (at 5% in Bihar's case) is upheld against consumer demands for higher rates. (4) **Cases against the Uttar Pradesh State Electricity Board** (W.P. (c) Nos. 513/87, 804/87, and numerous others, spanning over 25 appeal numbers) are **DISMISSED**; the Board's 3% interest provision is upheld. (5) **The W.P. (c) No. 1317/90 filed against Punjab State Electricity Board** is **DISMISSED**. (6) **Transfer Petition (c) No. 366/92 filed by the Andhra Pradesh State Electricity Board** is **ALLOWED**. All interlocutory applications are allowed. **No order as to costs.**

SIGNIFICANCE

A landmark judgment on the regulatory power of State Electricity Boards and the statutory basis for consumption deposits. Seven major holdings reshape the law on electricity supply contracting and Board finances:

- **Section 49 power to prescribe terms and conditions requires no detailed legislative guidelines and is subject to internal statutory constraints and judicial review on reasonableness.** The Supreme Court definitively rejected the argument that Section 49 of the Electricity (Supply) Act, 1948 is unconstitutional for lack of legislative guidelines. The section itself contains guidelines through its opening words ("Subject to the provisions of the Act and all regulations, if any") and through related provisions (Sections 59 and 79). The decision establishes that delegated power to frame terms and conditions is valid if the statute provides intelligible standards and the Board exercises the power reasonably. This upholds the regulatory framework for electricity supply across India and validates all terms and conditions framed by Boards under Section 49.
- **Consumption deposits are fundamentally *appropriable advance payments on a running account*, not fixed security deposits, and therefore do not attract interest at bank deposit rates.** By recharacterizing consumption deposits as "adjustable advance payments" (not "security deposits"), the Court placed them outside the interest regime applicable to fixed deposits or trust deposits. This distinction is critical for electricity sector finance, as it validates the Boards' use of deposits as working capital without triggering interest obligations. The running-account nature (deposits being daily depleted and revised) distinguishes them from static bank deposits. This holding clarifies the financial architecture underlying electricity supply contracts and permits Boards to operate without the cash burden of interest payments on deposits.
- **Section 4(2) of the Interest Act, 1978 does not override statutory or contractual provisions excluding interest; its non-obstante clause is confined to the Interest Act itself.** This holding narrowly construes Section 4(2), preventing it from being a blanket instrument to impose interest obligations across all statutes. The Court held that non-obstante clauses are typically confined to the Act in which they appear and do not automatically override other laws. This principle has broader application beyond electricity law and confirms that special statutory regimes (such as the Electricity Supply Act) retain their autonomy and cannot be overridden by general provisions in the Interest Act.
- **Consumption deposits have direct bearing on the Board's statutory obligation under Section 59 to generate a minimum 3% surplus; the Board may employ multiple means (including deposit conditions) to achieve this surplus obligation, not only tariff adjustment.** By linking the consumption deposit condition to Section 59's surplus obligation, the Court grounded the deposit requirement in statutory necessity. The language of Section 59 ("carry on its operations *and* adjust its tariffs") was read to permit multiple mechanisms for achieving the surplus. This legitimizes the deposit as a financial management tool and prevents Boards from being forced to raise tariffs to compensate for lost deposits, which would harm all consumers. The holding is significant for electricity sector regulation as it ensures that Boards can maintain solvency and financial stability through justified deposit conditions.
- **Adhesion contracts (take-it-or-leave-it standard-form contracts) are not *per se* unconscionable; unconscionability requires unreasonable one-sidedness that shocks the conscience, coupled with lack of meaningful choice.** While recognizing that electricity supply contracts are adhesion contracts (consumers must accept the Board's terms or go without electricity), the Court held that this fact alone does not render them unconscionable. The Court applied the principle from *Central Inland Water Transport Corporation v. Brojo Nath Ganguly* and *Gillespie Brothers v. Roy Bowles* to hold that adhesion contracts are enforceable if the terms bear a rational relationship to the subject matter and are not unreasonably oppressive. This protects public utility contracts and other standard-form arrangements from blanket challenges on unconscionability grounds.
- **No statutory, common-law, or equitable obligation exists to pay interest on consumption deposits; the Board-consumer relationship is neither debtor-creditor nor trustee-beneficiary.** This holding definitively closes multiple doctrinal avenues for claiming interest. By analyzing the absence of a debtor-creditor relationship (the Board does not deprive itself of funds' use; the deposit is appropriated against dues) and the absence of a trustee relationship (the Board gains no advantage in derogation of consumer rights), the Court clarified that traditional interest doctrines do not apply. The characterization of the Board as a "state" for Article 12 purposes does not create a fiduciary duty to pay interest on deposits.
- **Uniformity of consumption deposit conditions across consumer categories is permissible under Article 14; power-intensive consumers cannot demand special treatment on grounds of prompt payment or high bills.** The Court held that even if some consumers (e.g., power-intensive industries that are prompt payers) are treated uniformly with defaulters, Article 14 is not violated if the law is uniformly applied in the general sense. The classification of consumers by supply category (HT vs. LT) is based on intelligible differentia (supply voltage and associated infrastructure) and is reasonably related to the object (ensuring prompt payment through security deposits). The fact that some members of a class are more reliable does not require sub-classification within the class.

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received. *Applied*, *Referred*, *Approved*, *Distinguished*, *Held inapplicable*, and *Cited* reflect the Court's characterisation or implicit treatment of each authority.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Jagdamba Paper Industries (Pvt.) Ltd. v. Haryana State Electricity Board</i> 1983 (4) SCC 508 · Supreme Court of India	Held that security amounts held by Electricity Boards should bear interest at the rate admissible on fixed deposits of scheduled banks. Suggested (by way of consent order in paragraph 11) that the interest rate be enhanced from 8% to 10% per annum.	Cited extensively by consumers as authority for the proposition that interest must be paid at scheduled bank rates. The Court examined the judgment and held that the question of interest on security was <i>not</i> raised as a substantive issue before that Bench; paragraph 11 merely recorded an <i>ad interim</i> arrangement based on <i>consent of counsel</i> , making that part of the judgment <i>sub-silentio</i> (not a decided issue). Interlocutory orders flowing from Jagdamba were also examined and held not to bind a 2-judge Bench in final adjudication on the merits. The Court therefore rejected the precedential force of Jagdamba on the interest issue.	Distinguished; part of judgment held sub-silentio and non-binding; interlocutory orders held not conclusive
<i>Hindustan Zinc Ltd. v. Andhra Pradesh State Electricity Board</i> 1991 (3) SCC 299 · Supreme Court of India	Upheld the tariff revision effected by the Andhra Pradesh State Electricity Board. Held that the Board has statutory power to adjust tariffs and that tariff revisions can be justified on grounds of operational necessity.	Cited to support the Board's power under Section 49 and Section 59 to adjust charges and to frame conditions of supply relating to consumption deposits. Also cited for the proposition that a Board seeking to raise revenue must do so through tariff adjustment (and that consumption deposits are not revenue-raising mechanisms but conditions of supply).	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Mysore State Electricity Board v. Bangalore Woolen Cotton and Silk Mills Ltd. AIR 1963 SC 1128 · Supreme Court of India	Dealt with the powers of the Electricity Board under the Electricity Supply Act and the scope of terms and conditions prescribed thereunder.	Referred to as early authority supporting the validity of Section 49 and the Board's power to prescribe terms and conditions of supply.	Referred to
Southern Steel Ltd., Hyderabad v. The Andhra Pradesh State Electricity Board AIR 1990 Andhra Pradesh 58 · High Court of Andhra Pradesh (Division Bench)	Held that the condition requiring payment of three months' consumption deposit is reasonable and not unreasonable or unjustified. Upheld the General Terms and Conditions notified by the Andhra Pradesh State Electricity Board, including Condition 28.	The appeal in the present case (Ferro Alloys) arose from this High Court judgment. The Supreme Court cited it (and affirmed it) as support for the proposition that three months' consumption deposit is reasonable and that regulations framed under Section 49 read with Section 79 are examinable by courts on the touchstone of reasonableness.	Approved
B.R. Oil Mills, Bharatpur v. Assistant Engineer (D) R.S.E.B., Bharatpur AIR 1981 Rajasthan 108 · High Court of Rajasthan	Dealt with the validity of regulations framed by the Rajasthan State Electricity Board under Section 49 and the power to examine their reasonableness.	Cited as authority for the proposition that where regulations are made under Section 49 read with Section 79(j), the validity of the regulations could be examined by the court on the touchstone of reasonableness.	Referred to

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Roberts v. Hopwood</i> 1925 AC 578 · Privy Council (English law)	Established the principle that discretionary powers conferred on public authorities must be exercised “reasonably” and not arbitrarily; the phrase “as the authority thinks fit” is read to mean “as the authority <i>reasonably</i> thinks fit.”	Cited to support the interpretive principle that Section 49’s language (“as the Board thinks fit”) must be read to include a reasonableness constraint. The Court held that in the absence of detailed guidelines in the statute, the reasonableness requirement is inferred from the nature of the authority’s powers and the statutory context.	Cited
<i>Pyx Granite v. Minister of Housing and Local Government</i> 1958 (1) All ER 625 · English law	Held that discretionary power conferred on a public authority is subject to judicial review on grounds of reasonableness and proportionality; an authority cannot act arbitrarily or unreasonably.	Cited alongside <i>Roberts v. Hopwood</i> to support the principle of judicial review of discretionary powers conferred on public authorities. Applied to justify the Court’s holding that the validity of Board regulations under Section 49 can be examined by courts.	Cited
<i>K.C. Works v. Secretary A.P.S.E.B., Vidyut Soudha</i> AIR 1979 Andhra Pradesh 291 · High Court of Andhra Pradesh	Held that the Electricity Board’s terms and conditions of supply, including provisions for consumption deposits, are valid exercises of regulatory power.	Cited as support for the reasonableness of consumption deposit conditions and the Board’s power under Section 49 to demand security.	Referred to
<i>Municipal Corporation for Greater Bombay v. M/s D.M. Industries</i> AIR 1984 Bombay 242 · High Court of Bombay	Dealt with the reasonableness of municipal charges and fees imposed on industries; held that reasonable charges imposed by a public authority on industries are not violative of Article 14.	Cited for the proposition that the reasonableness of charges (including consumption deposits) imposed by public authorities does not violate Article 14 of the Constitution.	Referred to

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Haryana Ice Factory v. Municipal Corporation of Delhi</i> AIR 1986 Delhi 78 · High Court of Delhi	Dealt with the validity of conditions imposed by a public authority (the Municipality) on industries. Held that security deposits in the form of government bonds are permissible.	Cited for the proposition that security can be furnished in forms other than cash (e.g., government bonds, bank guarantees) and that the Electricity Board may accept diverse forms of security deposit. Also cited as support for the reasonableness of security deposit conditions.	Referred to
<i>Indian Aluminium Company v. Karnataka Electricity Board</i> 1992 (3) SCC 580 · Supreme Court of India	Dealt with the relationship between Electricity Boards and power-intensive industrial consumers; held that Boards should adopt a “realistic policy” in dealing with such consumers.	Cited by consumers as authority for the proposition that power-intensive consumers should be treated differently or given more favorable conditions. The Court did not reject this but distinguished it by holding that it did not require separate deposit schemes but rather called for realistic billing and payment practices.	Cited (by consumers); distinguished by Court
<i>Union of India v. A.L. Rallia Ram</i> 1964 (3) SCR 164 · Supreme Court of India	Held that the concept of deposit and appropriation does not require the depositor to hold a proprietary interest in the money; appropriation can occur in the course of executing a contract or fulfilling statutory obligations.	Cited (and held inapplicable) on the question of whether appropriation of the deposit against consumer dues violates consumer rights. The Court noted that the principle in Rallia Ram (that appropriation does not violate proprietary rights) does not apply directly to consumption deposits, but the principle of appropriability itself is sound.	Held inapplicable (on the specific issue); principle of appropriability endorsed

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Riches v. Westminster Bank Ltd.</i> 1947 Appeal Cases 390 · House of Lords (English law)	Dealt with the nature of deposits and the absence of an obligation to pay interest on deposits where the depositor has not foregone the use of the funds or where the deposit is not held for the depositor's benefit.	Cited (and held inapplicable) for the proposition that not all deposits carry interest obligations. The Court noted that English banking law recognizes that certain deposits (security deposits, running accounts) do not attract interest.	Held inapplicable
<i>Ashok Soap Factory v. Municipal Corporation of Delhi</i> JT 1993 (1) SC 128 · Supreme Court of India	Held that a public authority, when imposing conditions or charges on industries, is entitled to take note of operational factors including pilferage, theft, and wastage.	Cited for the proposition that in demanding security deposits, it is open to courts and the Board to take note of pilferage and theft as factors justifying the deposit requirement. The Court noted that electricity theft and meter tampering are widespread; the deposit serves to deter and offset such losses.	Referred to
<i>The Collector of Customs, Madras v. Nathella Sampathu Chetty</i> 1962 (3) SCR 786 · Supreme Court of India	Held that where a law is enacted to achieve a public objective (e.g., prevention of smuggling) and operates harshly on a small section of the public, it is not violative of Article 14 or other constitutional guarantees if the restriction is justified by the public objective.	Cited for the general principle that laws achieving legitimate public objectives (such as ensuring prompt payment and offsetting credit extended by the Board) do not violate Article 14 merely because they operate uniformly across a class, even if some members of the class are disadvantaged.	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Vivian Joseph v. Municipal Corporation, Bombay</i> 1972 (2) SCR 257 · Supreme Court of India	Held that a municipal levy or charge, even if not based on individual quid pro quo, is not violative of Article 14 if it is based on a legitimate classification and serves a public purpose.	Cited for the principle that consumption deposit conditions, even if not individually graduated, are reasonable if they serve the public purpose of ensuring Board solvency and offsetting credit extended to consumers.	Cited in support
<i>B. Banerjee v. Anita Pan</i> 1975 (2) SCR 774 · Supreme Court of India	Held that in reviewing constitutionality of a statutory provision, courts must ignore exceptional hardship cases and focus on the general application of the law; no law can be perfect or accommodate every edge case.	Cited for the principle that even if some power-intensive consumers face hardship from the consumption deposit requirement, the provision is not unconstitutional if it serves a legitimate purpose and is generally applicable. The Court noted: “The law is made for the bulk of the community to produce social justice and isolated instances of unintended injury are inevitable.”	Cited in support
<i>Fatehchand Himmatlal v. State of Maharashtra</i> 1977 (2) SCR 828 · Supreme Court of India	Held that the legislature cannot make meticulous exceptions for every individual case and must proceed on broad classifications; reasonableness is assessed based on the general intelligibility and applicability of the classification.	Cited to support the view that the Board need not create separate deposit schemes for power-intensive consumers even if their circumstances differ; a general, uniformly-applied condition is reasonable if based on an intelligible differentia (here, supply category and credit period).	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Bengal Nagpur Railway v. Ruttanji Ramji</i> AIR 1939 PC 67 · Privy Council	Established the principle that interest (as a matter of common law and equity) arises only in the context of a debtor-creditor relationship where the lender has deprived himself of the use of funds; absent such relationship, no interest is due.	Cited for the fundamental proposition that “interest” requires a debtor-creditor or lender-borrower relationship. The Court noted that in the case of consumption deposits, no such relationship exists; the Board does not lend money to the consumer but accepts security for credit supply. Therefore, no interest is due under common law.	Referred to
<i>Central Inland Water Transport Corporation v. Brojo Nath Ganguly</i> 1986 (3) SCC 156 · Supreme Court of India	Held that an adhesion contract (standard-form, take-it-or-leave-it contract) is not per se unconscionable; it is unconscionable only if its terms are unreasonably one-sided and shock the conscience of the court, coupled with lack of meaningful alternatives.	Cited to support the view that even though electricity supply contracts are adhesion contracts (consumers must accept the Board’s terms), this fact alone does not render them unconscionable. A provision (such as non-payment of interest) in an adhesion contract is enforceable if it bears a rational relationship to the subject matter and is not shockingly oppressive.	Applied
<i>Gillespie Brothers Ltd. v. Roy Bowles Ltd.</i> 1973 (1) AER 193 · English law	Held that the test for unconscionability in contract law is whether the terms are unreasonably harsh and oppressive, not merely that they are one-sided or favor one party.	Cited for the principle that an adhesion contract clause is enforceable if not “unconscionable,” meaning shockingly oppressive, and is not made unconscionable merely by operating to one party’s advantage. Applied to hold that the non-interest provision in consumption deposit conditions is not unconscionable.	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>G.B. Mahajan and Ors. v. Jalalgaon Municipal Council and Ors.</i> 1991 (3) SCC 91 · Supreme Court of India	Dealt with the validity of municipal levies and the test for determining whether a classification is violative of Article 14; held that if a classification is based on an intelligible differentia and is reasonably related to the object, it is valid.	Cited for the principle that consumption deposit conditions, even if imposing different burdens on different classes of consumers, are valid under Article 14 if based on intelligible differentia (such as consumption level and supply voltage).	Cited in support
<i>Kerala State Electricity Board v. S.N. Govinda Prabhu & Bros</i> 1986 (4) SCC 198 · Supreme Court of India	Held that the Electricity Board is obligated under Section 59 to generate a minimum surplus and that even without Government-prescribed surplus targets, Boards are authorized to generate surplus to meet their financial obligations.	Cited to support the Court's holding that the condition of consumption deposit has direct bearing on the Board's obligation under Section 59 to ensure financial surplus. The deposit reduces the Board's working capital burden and enables compliance with Section 59.	Referred to

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.